REPORT ON TITLE AND TENANCIES

Project Redwood — Redwood House, 14 Aldersgate Street, London EC1A 4HD

Prepared for Calderfield Capital Partners Limited | Whitfield Carter LLP | Ref SW/jo/CAL-0185

1. Executive summary

This report sets out the results of our investigation of title to the Property and our review of the occupational leases, the replies to enquiries and the search results. Subject to the matters highlighted in bold in this report and to satisfactory pre-completion searches, we consider the title to be good and marketable and suitable for acquisition as an investment at the agreed price of £21,750,000 (a net initial yield of 6.4%). The principal points for your attention are: (a) the rent review under the Mercer Wells lease is outstanding and currently the subject of negotiation; (b) one tenant (Aldgate Print Co) has a tenant break option in October 2027; and (c) there is a historic restrictive covenant affecting part of the rear yard, addressed in section 6 below.

2. The Property and registered title

The Property is registered with freehold title absolute under title number NGL742118 at HM Land Registry. The registered proprietor is Hartmoor Estates Limited. The title plan shows the whole of the building and the rear yard edged red. We have reviewed office copy entries dated 6 February 2026. There are no entries in the proprietorship register restricting the Seller's ability to sell, save for a standard Form A restriction which is not relevant to a sale by a sole proprietor for value.

3. The occupational tenancies

The Property is let to four occupational tenants producing a total passing rent of £1,487,500 per annum. The principal terms are summarised below and set out in full in the Tenancy Schedule (separately provided).

Tenant / demise	Key terms
Mercer Wells LLP (floors 3–5)	15-year lease from 25 March 2019; passing rent £720,000 p.a.; 5-yearly upward-only reviews (2024 review outstanding); inside the 1954 Act; rent deposit of £180,000 held.
Aldgate Print Co Limited (floors 1–2)	10-year lease from 1 October 2020; passing rent £465,000 p.a.; tenant break on 1 October 2027 (6 months' notice); inside the 1954 Act.
Castelló Coffee Limited (ground-floor retail)	10-year lease from 24 June 2022; passing rent £142,500 p.a.; RPI-linked review 2027; outside the 1954 Act.
Fenwick Serviced Offices Ltd (6th floor)	5-year lease from 1 January 2024; passing rent £160,000 p.a.; no break; inside the 1954 Act.

4. Service charge

The Property is managed by the Seller's managing agents, Calderbank Vine. The service charge year runs to 31 December. The most recent certified accounts (year to 31 December 2025) show total expenditure of £214,600, fully recovered from the tenants save for a void apportionment of £7,200 referable to a small vacant storage area in the basement. We have requested the service charge reconciliation as a completion apportionment item.

5. Outstanding rent review (Mercer Wells)

The 2024 rent review under the Mercer Wells lease remains unsettled. The Seller's agents have quoted a revised rent of **£792,000 per annum**, against the passing £720,000. The

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review is upward-only and the new rent, once agreed or determined, will be backdated to the March 2024 review date. We recommend that the sale contract require the Seller to account to the Buyer for any reviewed rent and arrears referable to the period after completion, and that the review not be settled without the Buyer's consent after exchange. This has been raised with the Seller's solicitors and is reflected in clause 13 of the sale contract.

6. Restrictive covenant — rear yard

The charges register contains a restrictive covenant imposed by a 1968 conveyance preventing the erection of any structure exceeding 4 metres in height on the rear yard. The covenant does not affect the existing building and we do not consider it material to the investment, but you should be aware of it if you contemplate future development of the yard. Indemnity insurance is available at modest cost if required; we do not recommend it as necessary at this stage.

7. Searches

We have reviewed the local authority search (CON29 and LLC1), the drainage and water search, the environmental search and the chancel repair search. The local search reveals no adverse entries other than the building's location within the Smithfield Conservation Area, which is consistent with its existing use and listing status (the building is not itself listed). The environmental search returns a "passed" result. The chancel search is clear.

8. VAT and SDLT

The Seller has opted to tax. The parties intend to treat the sale as a transfer of a going concern, on the basis that the Buyer opts to tax and notifies HMRC before completion and that the property letting business continues. On that basis no VAT is chargeable on the price. SDLT at the non-residential rates on £21,750,000 is £1,077,000, which we will pay from completion funds and report to HMRC within 14 days of completion.

9. Recommendation

Subject to the matters set out above, to clear pre-completion searches and to receipt of the deposit funds and SDLT monies, we are satisfied that the Property may properly be acquired at the agreed price and recommend that you proceed to exchange on the terms of the sale contract.

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